

THE BEST WAY TO GET A FORTUNE

Getting a fortune by running a business is the best and most common way to get and maintain a fortune. Here's why:

- It is a more permanent form of wealth than just cash.
- It usually provides an onward stream of income that can be used to support a family and/or add to its wealth.
- It is dynamic and alive, not moribund. It requires attention.
- It causes the family members to work together toward a common goal.
- It helps family members understand the value of money and how it is earned.
- Over time, businesses give families a way to leverage their own skills and knowledge.

Let's examine each of these, briefly.

First, money from a business is more reliable than money from stocks or other investments. This is a dubious assumption. Small businesses have good times and bad times. Most are out of business within five years of their founding. So what do we mean by "more permanent"?

The trouble with cash is that it is hard to develop any real attachment to it. One dollar bill is the same as the next. People don't really care about them. What they care about is what they can be exchanged for. In other words, the only real value in cash is that it can be gotten rid of in favor of something else.

That is not true of business wealth. Businesses take many years to build. They are sold off only reluctantly and with considerable difficulty. Businesses are illiquid; they cannot be exchanged for other things readily. They are, at least in that sense, more permanent than cash.

Besides, in our reading of the family wealth stories, it appears that families with only liquid assets are less likely to have any assets at all 10 years on than those with family businesses. Families have no loyalty and little sense of responsibility toward money. They often feel very loyal toward businesses and work very hard to keep them alive.